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PSYC100

Putting it all together

Today
Welcome to your next lesson: Putting it all together.

I'm preparing your personalized lesson based on what you've learned, what's next, and how to reinforce your knowledge.

Step by step, you’re moving forward.

Ron, let’s stress-test all the biases you’ve seen using one compact story 👇

Evan watches a small-cap stock, VXLT, that opened last month at $40. After a weak earnings call, it drops to $22. His broker’s note says, “VXLT crashed after disappointing results, but management expects a strong rebound.”

Evan skims the note on his phone while half-watching a game and checking messages. He thinks, “It was at $40; getting back to $30 is realistic.” A friend texts: “Most people remember it spiking to $45 intraday, it always bounces.”

Evan faces a choice:

Option A: Sell now and lock in a $900 loss.
Option B: Hold and, with a 50% chance, either lose another $900 or make $1,800.
He mutters, “I can’t stand realizing the loss,” and chooses to hold.
First pass: name any three biases you see at work in this story (just the names, no explanation yet).

availability heuristic, anchoring , halo effect

Nice picks 👍

Let’s keep it tight and step-by-step. I’ll focus on your three:

Anchoring
Availability heuristic (even though it’s out of scope, we can still note where you saw it)
Halo effect
Next step: for anchoring, point to the exact sentence or phrase in the story that shows the anchor being used.

You can copy just the key part, like:

"It was at $40; getting back to $30 is realistic."

What line do you think is the clearest example of anchoring here?

i feel like this biases his decisions whether to trust its going ti ==o rebound or not
His broker's note says, "VXLT crashed after disappointing results, but management expects a strong rebound."

Yes, that line is important 👌 — it's doing two things at once (framing + emotion), but let's separate out the anchor very cleanly.

For anchoring, the key is:

"VXLT, that opened last month at $40."

and then

"It was at $40; getting back to $30 is realistic."

Step-by-step how this is anchoring:

The $40 opening price is the anchor.
Evan's later judgement ("getting back to $30 is realistic") is pulled toward that old price, even though new info (bad earnings, crash) should matter more.

So for anchoring, the triggering text is mainly those price references, not the broker's "crashed / strong rebound" sentence.

Quick check:

Do you agree that the anchoring example should focus on the $40 → $30 thinking, rather than the broker's emotional wording?

Answer in your own words (1 short sentence is enough), then we'll pick one debiasing tactic to reduce anchoring in this scenario.

Yes, that makes sense

Great 👍

Now let's design one concrete debiasing tactic to fight that anchoring on $40.

A simple one from this lesson is a Delayed Evaluation Window:

Before deciding, force yourself to wait a set time (e.g., 15–30 minutes) and then re-evaluate using only current facts, not past prices.

For Evan, that could look like:

Write down: "I feel $30 is realistic because it used to be $40."

Step away for 20 minutes.
Come back and ask: “If I didn’t know it was ever $40, what would I think based only on earnings, trend, and risk now?”

🎯 Your turn:

Write one short sentence for a rule Evan could follow next time to reduce anchoring on old prices. Keep it very concrete, like a trading checklist item.

Dont make any immediate decisions. No matter what your gut reaction is telling you, pause for 30 minutes to think and thn re-evalute your decision

That’s a strong rule ☑ — very clear delayed-evaluation tactic.

If we turned your sentence into a checklist item, it might be:

“When price moves sharply, wait 30 minutes before trading. Then re-evaluate using only current data, not past highs.”

Next bias you named: availability heuristic.

In the story, what exact line made you think of that?

Copy/paste a short piece of the text you think shows availability (the “easy to recall” info shaping judgment).

A friend texts: “Most people remember it spiking to $45 intraday, it always bounces.”

This adds a clear example of why its going to be a good chooice to hold

Exactly 💯

That line is a clean example:

“Most people remember it spiking to $45 intraday, it always bounces.”

Step-by-step what’s happening:

The spike to $45 is vivid and easy to recall.
Because it’s so easy to recall, Evan feels like “it always bounces” is true.
That feeling of easy recall (availability) pushes him toward holding.
Now let’s attach a debiasing tactic to this.

One good fit is an Evidence Checklist. For example, before trusting a story like “it always bounces,” Evan must ask:

“How many actual past cases do I have data for?”
“Am I relying on one vivid memory or real statistics?”

Your turn:

Write one checklist question Evan should force himself to answer before trusting this “it always bounces” memory. Keep it short, like a line he could read off a sticky note.

dont take advice or statistics at face value. Take the time to verify the facts by

quetstioning and checking the resources used to give those statistics or advice

Nice. That’s exactly the mindset we want — now let’s compress it into a super concrete checklist line Evan could actually see on-screen.

Something like:

“Before acting on advice, check at least one independent data source (price history, stats) to confirm it.”

Last one you named: halo effect.

Look back at the story and pick the exact phrase or sentence that you feel shows halo/horn-type thinking about the stock or management (a general impression spilling into the specific decision).

Copy just that part, then we’ll attach a debiasing tactic to it.

same line
A friend texts: “Most people remember it spiking to $45 intraday, it always bounces.”

Both the fact he trusts his friend and the fact hes pesented with a favorable view point of the outcome see haloish

You’re reading that really well 👌

That friend’s text is doing two things at once:

Availability: “spiking to $45” is vivid and easy to recall.
Halo-ish spin: “it always bounces” wraps the stock in a positive glow, making it feel like a “winner,” which then makes holding feel more attractive than it objectively is.

To reduce this kind of halo from who says it or how nice it sounds, we can use a Blind Review tactic:

Before deciding, write down the trade idea without the friend’s name or emotional wording, and judge it only on numbers (risk, reward, probabilities).

Example blind-review rule:

“Evaluate every trade idea as if a stranger wrote it. Ignore who said it and focus only on the data.”

Quick check-in, Ron:

Do you feel clear on how we:

spotted anchoring, availability, and halo-ish thinking in the story, and
attached delay, evidence checklist, and blind review tactics to each?

If anything still feels fuzzy, tell me which part and we’ll slow down right there.

I'm clear on all steps

Nice work, Ron 🔥 Let’s tie this to how you trade.

You just:

Identified 3 biases in a story
Pointed to the exact sentences that trigger them
Matched each with a debiasing tactic:
Anchoring → 30-min delay / cool-off
Availability → evidence checklist / independent data
Halo-ish friend influence → blind review (“as if a stranger wrote it”)
Last reflection, then we’re done:

For your real trading tomorrow, which one of these three tactics feels easiest to actually use, and why?

30□minute delayed decision
Evidence checklist before acting on advice/memories
Blind review (ignoring who said it, focusing only on data)

Pick one and explain in 1–2 sentences.

The evidence checklist, i aleady have one just need to stick to it. waiting 30 minutes isnt possbible in scalp trading its fast pace do it now or its too late and its my own decision so hard to ignore who said it

That makes a lot of sense 💯

You’ve adapted it well to your reality:

Evidence checklist fits fast-paced scalping, because you can turn it into 2–3 ultra-quick checks.
30□minute delay doesn’t match your timeframes.
Blind review is harder when it’s mostly your own decision flow.

If you want, next step we can:

Turn your evidence checklist into a tiny, 5–10 second version for scalps (like 3 yes/no questions you tap mentally before entering).

Or, if you feel solid on this lesson, we can wrap it here and move on to the next topic.

Which do you prefer: tighten your scalping checklist a bit, or move to the next lesson?

we can wrap it up

Nice work today, Ron 🎯

You:

Spotted anchoring, availability, and halo-ish thinking in a realistic trading story
Pointed to the exact text that triggered each bias
Matched each with a clear debiasing tactic:
Anchoring → delay / cool-off rule (even if it doesn’t fit scalping, you understood it)
Availability → evidence checklist (which you already use 👌)
Halo-ish friend/advice → blind review (treat the idea like it came from a stranger)
And you reflected honestly on what actually fits your trading style — the evidence checklist.

You’re all set on this lesson ☑
When you’re ready, you can jump into the next one in the Learn tab, and I’ll be right here to keep going with you.